

POL-012

KATE AI Assistant Governance Policy

Digital Banking & Payments

Policy ID	POL-012
Version	v1.0
Effective Date	01 August 2024
Next Review	01 August 2025
Status	Draft
Policy Owner	Group CIO
Applies To	Digital Banking & Payments
Classification	INTERNAL — All KBC Group Employees

About this policy: This policy explains how KBC governs KATE — ensuring she is transparent with customers, fair in her recommendations, and properly escalates to a human when the situation demands it.

How to use this policy

This policy is written for all KBC employees. It explains what we stand for, what is expected of you, and how to handle situations you may encounter in your day-to-day work. You do not need to be a legal or compliance expert to read it. If you are ever uncertain, the right thing is always to ask. Contact details for your Compliance team are at the end of this document.

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1. Introduction

KATE is KBC's AI-powered digital personal assistant. She helps more than 5 million customers manage their banking, ask questions, initiate payments, and navigate KBC's products — autonomously resolving around 70% of all customer interactions. KATE is one of KBC's most distinctive customer-facing capabilities. With that capability comes significant responsibility. KATE makes consequential suggestions about financial products. She operates at scale. If she behaves unfairly or in ways that are not in customers' interests, the harm is amplified by that scale. This policy governs how we ensure KATE behaves well.

2. Who This Applies To

This policy applies to all KBC employees involved in designing, building, deploying, managing, or overseeing KATE. It also applies to employees in customer-facing roles who receive escalations from KATE or advise customers about her capabilities.

3. What KATE Does and Why It Needs Governance

KATE performs a range of functions, not all of which carry the same risk. When KATE answers a FAQ about branch opening hours, the stakes are low. When KATE makes a recommendation about a mortgage product or an investment fund, the stakes are high. We classify KATE's functions by risk level. High-risk functions are subject to the most rigorous governance: conformity assessments before deployment, bias testing, explainability requirements, and regular performance monitoring.

4. Being Honest With Customers About AI

Customers have the right to know they are interacting with an AI. KATE discloses her AI nature at the start of every interaction. This is not just a legal requirement — it is the right thing to do. When KATE makes a recommendation involving a significant financial decision, the customer must always be told they can speak with a human KBC adviser if they prefer. That option must always be genuinely available.

KATE's disclosure

At the start of every interaction, KATE tells the customer: 'I am KATE, KBC's AI digital assistant. I am not a human. For important financial decisions, you can always speak with a KBC adviser.' This disclosure is mandatory and must never be removed or modified without completing the required governance process.

5. How KATE Makes Decisions — And Its Limits

KATE's recommendations are generated by AI models trained on large datasets. These models are powerful but not infallible. They can reflect biases in historical data. They can behave unexpectedly in novel situations. They can be wrong. KBC's approach to KATE is not 'AI decides'. It is 'AI informs, humans remain accountable'. If you see KATE producing an output that does not seem right, do not let it stand.

6. When KATE Escalates to a Human

KATE is configured to escalate to a human agent for: customer complaints; interactions where the customer shows signs of distress; transactions above defined value thresholds; and any situation where KATE's sentiment analysis indicates the customer may be vulnerable. These escalation rules are not optional — they exist to protect customers.

7. Protecting Vulnerable Customers

Some customers are in difficult circumstances — financial hardship, bereavement, illness, or cognitive impairment. KATE is trained to detect signals of vulnerability and to prioritise human escalation when those signals are present. If you receive an escalation involving a potentially vulnerable customer, handle it with particular care and empathy, and follow KBC's vulnerable customer guidelines.

8. Your Responsibilities

- Never modify KATE's disclosure scripts or escalation rules without completing the governance process.
- When you receive a KATE escalation, treat it as any customer interaction — with care and professionalism.
- Report any KATE behaviour that seems unfair, biased, or inconsistent with our standards.
- Ensure customers always understand their right to speak with a human.

9. Getting Help

- **KATE Product Governance Team / Group CIO Office** — for KATE governance questions.
- **KBC Compliance Advisory** — for policy guidance.
- **KBC Ethics & Compliance Helpline** — for confidential concerns.

10. Policy Review

This policy is reviewed annually and following significant developments in AI regulation or KATE model updates.